Hungary: Euro adoption likely by 2032

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Hungary will likely adopt the euro by 2032

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Prime Minister Peter Magyar’s government will likely miss its 2026 deficit target, with the shortfall reaching about 7.7% of GDP rather than 7.5%, owing to the government's reluctance to cut costly Fidesz giveaways and geopolitical shocks such as the war in the Middle East.
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Because that fiscal slippage will delay progress toward the Maastricht criteria, the government will likely aim for European Exchange Rate Mechanism II (ERMII) entry by 2030 and euro adoption by 2032, rather than the earlier 2030 adoption goal.
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Government cohesion remains strong, with Magyar firmly in control, despite a slight decline in opinion polls.

Hungary is likely to surpass its 7.5% of GDP deficit target in 2026. The revised budget assumes 2% GDP growth, but growth will likely fall short by 0.1-0.2 percentage points. That gap suggests fiscal slippage will begin this year even without further external shocks. A final deficit closer to 7.7%-7.8% of GDP appears to be the more likely outcome when the figures are released in February-March next year. The main drivers are the yet-unaccounted-for impact of the summer drought and electricity crisis, the government's reluctance to cut costly Fidesz-era giveaways, and exposure to geopolitical shocks such as the war in the Middle East.

Hungary’s main fiscal pressures, especially higher oil prices and prolonged drought, stem largely from global factors beyond Magyar’s control. Markets have started to react to weaker deficit projections over the past month. The cost of insuring Hungarian debt against default has begun to rise, unlike the limited market response to the first round of budget revisions following the Iran conflict.

The large deficit will push public debt higher. Debt stood at 75.6% of GDP in mid-summer and will likely approach 77% by year-end because the government must borrow to support EU-funded projects. Financing those needs already poses a significant challenge despite broadly positive perceptions of Hungary. A shift in market sentiment could create a more serious risk.

Magyar is likely to favor tax hikes over spending cuts to rein in the deficit. He has already reduced some state outlays—for example, by scrapping the Sovereignty Protection Office and cutting the salaries of ministers and top managers at state companies. Yet, he has shown little willingness to reverse Viktor Orban's populist and interventionist policies.

Most notably, the "extra-profit" taxes on banks, financial institutions, and retail chains remain in place, along with caps on mortgage repayments, food prices, and utility fees. Those measures continue to weigh on both the budget and business confidence. Magyar has also begun costly social-care programs, such as higher minimum pension payments from 2027, aimed at groups that Orban largely neglected during his 16 years in power.

Given Magyar's reluctance to pursue policies that would directly hurt voters, he will likely turn to additional tax measures aimed at large companies, much as Orban did. The main difference is that he will frame the measures as a temporary sacrifice to secure a better future under the euro, making the 2030 ERM II target achievable.

Hungary will likely enter the ERM II by 2030 and adopt the euro by 2032. That delay from the earlier 2030 adoption target mainly reflects the government's weak fiscal position. Magyar is unlikely to reduce the deficit toward 3% of GDP—the Maastricht Treaty's ceiling for euro-area membership — quickly enough to keep a 2030 euro-adoption timetable credible. A deficit closer to 7.7% in 2026, along with rising public debt, will slow Hungary's progress toward meeting the Maastricht criteria. Yet ERM II entry by 2030 would put the country on track to adopt the euro by 2032, since membership requires a minimum of two years in ERM II. Meeting that 2030 milestone will be a crowning political success for Magyar and, assuming euro accession in 2032, cement Hungary's position within the EU. Moreover, it would likely win a positive market response, with scope for yields on Hungarian euro- and forint-denominated debt to converge further over time.

There are new signs of an economic pick-up. Despite electricity supply problems that led the government to request industry to voluntarily restrict consumption, industrial production was up 8.7% year-on-year in August and up 3.4% year-on-year over the first eight months. This performance suggests that the auto and battery investments of the past five years are beginning to pay off.

The BMW auto plant in Debrecen has announced that it will begin a third daily shift. New battery plants and logistics suppliers also expect stronger demand. Moreover, new investment projects are emerging. US cable maker Belden plans to build its largest European plant near Budapest, with expanded facilities due to come online in early 2028.

The initial euphoria around Magyar is beginning to fade. A recent survey by the Republikon Institute showed support for Tisza among decided voters slipping from 68% in August to 64% in September, while Fidesz edged up from 22% to 25%. If these trends continue, Magyar will likely grow even more reluctant to make economic decisions that directly hurt voters.

Despite talk that Magyar's controlling style could cause rifts within his cabinet and among inexperienced members of parliament, there have been no major defections. For now, government cohesion remains strong, with Magyar firmly in control. However, his ability to deliver on his many promises, along with his reluctance to delegate authority to key ministers, will likely test cohesion in 2027.

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